effective private enterprises and enable them to run as competitive businesses.

Overprotection of Labour Hurts Both Industry and Labour

Labour working with technology—tools, machines and equipment—produces goods. Even the most automatic industrial processes have some workmen and supervisory personnel for control. The mix of labour and machines differs from industry to industry. In highly technology- and machine-intensive production processes (usually referred to as capital-intensive), the proportion of labour employed is much smaller. In distribution and highly customized processes, the proportion of labour is much higher.

No technology confers a permanent advantage. No industry can hope to remain a leader in perpetuity. The evolution of new technologies and products can make highly successful businesses go bust. Lifelong employment and post-retirement pensions run counter to these business realities. The factory has also evolved and modernized over the past two centuries of the industrial era. Working conditions, most notably in large industry where most labour laws apply, have greatly improved.

The relationship of industry and labour has to be developed taking note of these realities and be fair to both the enterprise and workers. The Factories Act needs to be modernized and most labour laws need to be reviewed. Industry must get the freedom to hire and retain workers most suited for the technology used for production.

The government is the arbiter between industry and labour as per the laws enacted for protection of labour. The understanding of the government of business and technology is subpar. The failure of the public sector in many cases is testament to this. Provisions, like the one contained in the Industrial Disputes Act to seek the government’s approval before closing a factory if more than 100 workers are employed, are simply unworkable and